



Performance Bonus Policy

BluePeak Technologies | Annual company performance incentive

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Document purpose. Annual performance bonus eligibility, target opportunities, company and individual modifiers, proration, payout timing, governance, and examples.

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Quick Answers

Question	Current rule
Is every employee eligible?	Only employees whose compensation record includes an annual bonus target are eligible. Sales commission participants generally do not receive this bonus unless their record says otherwise.
What are standard targets?	Individual contributor 5%, manager 10%, director 15%, vice president 25%; executive targets are set by the Board or Compensation Committee.
How is the bonus calculated?	Eligible earnings × target percentage × company modifier × individual modifier, subject to a 200% target cap.
When is it paid?	Normally by March 15 after the plan year, after financial close and approval.
Is the bonus guaranteed?	No. It is an annual at-risk incentive and may be zero. Earned wages and commissions are not affected.
What happens after a promotion?	Target and eligible earnings are prorated by the effective dates of each eligible role.
Must I be employed on the payment date?	Generally yes, unless law, an approved retirement, death, disability, reduction in force, or written separation terms provide otherwise.

Illustration: Eligible earnings of \$100,000 × 10% target × 110% company modifier × 105% individual modifier = \$11,550 gross bonus, before taxes and deductions.

1. Purpose and Plan Year

The Performance Bonus Program aligns eligible employees with BluePeak's annual business, customer, operational, and individual priorities. The plan year is January 1 through December 31. This policy describes the standard program; an employee's written compensation record and any approved country addendum determine participation.

The program is not a sales commission plan, transaction bonus, retention agreement, equity plan, or guarantee of continued employment. BluePeak may amend prospective metrics or administration when business conditions require, but will not use an amendment to avoid paying compensation already earned under applicable law.

2. Eligibility

An employee participates only when a written offer, compensation statement, promotion letter, or annual plan notice assigns a target bonus. Standard targets are:

Eligible level	Standard annual target as percentage of eligible earnings
Individual contributor	5%
People manager	10%
Director	15%
Vice president	25%
Executive officer	As approved by the Board or Compensation Committee

A different approved target may apply to a specialized role. Employees in a sales commission or other variable-pay plan are excluded unless the compensation record expressly provides dual participation and explains how duplicate incentives are avoided.

Temporary workers, interns, contractors, and employees hired after October 1 are normally not eligible for that plan year. The Chief People Officer and Chief Financial Officer may approve an exception for a critical hire in writing before the start date.

3. Bonus Formula

The standard gross bonus is calculated as:

Eligible Earnings × Target Bonus Percentage × Company Modifier × Individual Modifier

The payout may not exceed 200 percent of the employee's target bonus unless the Board approves a separate executive arrangement. The program can pay zero.

3.1 Eligible Earnings

Eligible earnings generally include regular base salary or regular straight-time hourly wages paid for eligible service during the plan year. They exclude overtime premiums, commissions, prior bonuses, equity, severance, expense reimbursements, relocation payments, allowances, benefit contributions, and one-time awards unless the plan notice expressly includes them.

For a midyear hire, promotion, level change, target change, or transfer into or out of the program, eligible earnings and target are calculated for each applicable period. Unpaid leave reduces eligible earnings. Paid parental leave and approved paid disability leave remain eligible to the extent the underlying base pay is treated as eligible earnings.

3.2 Company Modifier

The Executive Leadership Team recommends a company modifier after year-end financial close. The Board or Compensation Committee approves the final result. For 2026, the scorecard is designed around:

Measure	Weight	Why it matters
Annual recurring revenue attainment	35%	Sustainable growth and market execution
Net revenue retention	20%	Customer value, adoption, and renewal health
Adjusted operating margin	25%	Efficient, durable operations
Product reliability and security objective	10%	Trust, uptime, and risk management
Strategic operating milestones	10%	Delivery of Board-approved priorities

Each measure has threshold, target, and stretch performance established in the confidential annual operating plan. Results interpolate between approved points and are subject to data-quality review. The combined company modifier ranges from 0 percent to 150 percent.

A material financial restatement, security control failure, regulatory breach, or misconduct may reduce the modifier even when quantitative goals were achieved. Any such adjustment requires documented Board-level review.

3.3 Individual Modifier

The individual modifier translates year-end performance into a payout factor:

Final performance outcome	Individual modifier
Does not meet expectations	0%
Partially meets expectations	50%
Meets expectations	100%
Exceeds expectations	110%
Exceptional impact	125%

A rating is not determined by one metric alone. Managers consider agreed goals, role scope, results, collaboration, values, quality, customer impact, and risk management. Calibration reviews promote consistency across teams. A manager may not promise a modifier before calibration and approval.

4. Examples

4.1 Full-Year Manager

A manager has \$120,000 of eligible earnings, a 10% target, a 95% company modifier, and a 100% individual modifier:

$$\$120,000 \times 10\% \times 95\% \times 100\% = \$11,400$$

4.2 Midyear Promotion

An employee earns \$45,000 while eligible at a 5% target and \$55,000 after promotion to a 10% target. The company modifier is 110% and the individual modifier is 105%:

- 1 First period: $\$45,000 \times 5\% = \$2,250$ target
- 1 Second period: $\$55,000 \times 10\% = \$5,500$ target
- 1 Total target: \$7,750
- 1 Payout: $\$7,750 \times 110\% \times 105\% = \$8,951.25$

4.3 Stretch Result and Cap

Eligible earnings of \$180,000 at a 15% target produce a \$27,000 target bonus. A 150% company modifier and 125% individual modifier produce \$50,625, or 187.5% of target, below the 200% cap.

5. Employment Events

5.1 New Hires and Transfers

Employees hired or entering the program on or before October 1 receive a prorated opportunity based on eligible earnings. A transfer to a commission plan ends bonus eligibility on the transfer date unless written terms provide otherwise.

5.2 Leaves

Paid parental leave and approved paid disability leave generally continue eligibility based on eligible earnings paid. Unpaid leave reduces eligible earnings and does not generate a target opportunity for the unpaid period. A protected leave will not be treated as negative performance.

5.3 Separation

An employee generally must be actively employed and in good standing on the payment date. Exceptions may apply for death, qualifying retirement, long-term disability, an approved reduction in force, or written separation terms. A voluntary resignation or discharge for misconduct before payment generally ends eligibility, subject to applicable law.

An employee who gives notice before the payment date remains subject to the general active-employment rule. Placing an employee on paid notice or garden leave does not create eligibility unless the separation agreement states it.

5.4 Death or Disability

When an eligible employee dies after completing service in the plan year, BluePeak may pay a prorated amount based on actual company results and a 100% individual modifier to the estate or lawful beneficiary, subject to approval and local law. Long-term disability cases are reviewed consistently with plan and benefit terms.

6. Performance and Conduct Conditions

An employee with a final rating of Does Not Meet Expectations receives a zero individual modifier. An active written warning does not automatically determine the rating, but substantiated misconduct, falsified results, policy violations, customer harm, or control failures may reduce or eliminate a bonus.

BluePeak may recover or cancel a bonus obtained through fraud, materially inaccurate data, violation of a clawback rule, or conduct that caused a restatement or significant loss. Recovery must be documented and lawful.

No bonus decision may retaliate against protected leave, reporting misconduct, participating in an investigation, discussing pay, requesting accommodation, or exercising another protected right.

7. Approval and Payment

After year-end close:

- 1 Finance validates scorecard data and proposes the company modifier.
- 2 People Operations completes performance calibration and checks eligibility data.
- 3 The Executive Leadership Team reviews the consolidated recommendation.
- 4 The Board or Compensation Committee approves the company result and executive payouts.
- 5 Payroll performs calculation and control checks.
- 6 Payment is normally made by March 15 following the plan year.

Bonuses are subject to withholding and authorized deductions. The pay statement identifies the payment separately. An employee should report a suspected calculation error to payroll@bluepeaktech.com within 30 days; BluePeak will correct a verified error even when reported later if law requires.

8. Governance and Discretion

The company modifier, individual outcome, and final payment require authorized approval. Discretion must be exercised consistently, based on documented factors, and never for an unlawful reason. A manager cannot create a side agreement, guarantee a minimum payout, or alter a metric without written approval from the Chief People Officer and Chief Financial Officer.

The official calculation record, not a dashboard estimate, controls. Forecasts shown during the year are directional and may change after close, audit adjustments, and Board approval.

90. Administration, Exceptions, and Questions

BluePeak administers the annual performance bonus program consistently with the employee's work location, employment classification, written employment terms, and applicable law. A statutory or contractual entitlement that is more generous than this document will apply to the extent required. A manager may not waive a legal requirement, create a new benefit, or promise an exception without written approval from the document owner.

Employees should raise questions before relying on an informal interpretation. Contact people@bluepeaktech.com through Outlook or the People Help channel in Microsoft Teams. Payroll, Legal, Information Security, or a site leader will be consulted when the question involves tax, wage-and-hour, privacy, immigration, safety, or local-law considerations.

Approved exceptions must identify the employee, the policy provision, the business reason, the approving authority, the start and end date, and any conditions. Exceptions are stored with the employee or transaction record and do not establish a precedent for other employees.

91. Related Documents and Systems

Resource	When to use it
Performance Management section of the Employee Handbook	Goal setting, feedback, ratings, and calibration.
Overtime & Compensation Policy	Base pay, compensation approvals, and regular-rate treatment.
Payroll Schedule & Direct Deposit Policy	Payment delivery, statements, deductions, and corrections.
Company Code of Conduct	Integrity of results, conflicts of interest, and non-retaliation.

Revision History

Version	Effective date	Change summary
v1.0	2026-01-01	Established the 2026 annual performance incentive design and calculation controls.